

defaults. The introduction of a buy-back provision if additional tollways and competing roads are built reduces traffic risk for the developer.

Rathi of GR Infraprojects says the tenure of the concession agreement can also now be extended by 30% if a competing road is built.

LIMITED COMPETITION

Despite the changes, BOT is unlikely to see very high competition. Unlike HAM projects with over 20 bidders, industry players expect five to six domestic and two to three international players to bid under BOT.

“Given the stringent fundamentals [required], we foresee limited competition in this field. Considering the higher capital requirement, competition is lowest for BOT projects,” says IRB’s Yadav. GR Infra also sees moderate competition. “I believe competition to be moderate as more upfront contribution (construction as well as equity support) is put by the authority,” adds Rathi.

Companies like PNC Infratech say they are exploring BOT opportunities but are aware of the revenue risk. HG Infra, a player in the EPC segment, says it is not interested.

“Our order of preference would be in the sequence of EPC, followed by HAM, and then our last preference would be BOT-Toll,” T.R. Rao, Director of Infra at PNC Infratech, said in a recent investor call.

Rating agency CRISIL sees some signs of a shift of large developers from HAM to BOT, as margins have fallen in the former due to increased competition in light of relaxed bidder eligibility criteria. One reason for the BOT debacle in the past was aggressive bidding by small players who could not hold



PHOTO BY HARDIK CHHABRA

We are committed to reviving the BOT model and making it investment-friendly... This will not only strengthen road infra but will have a ripple effect that will help to strengthen the economy...

NITIN GADKARI

MINISTER OF ROAD, TRANSPORT AND HIGHWAYS,
AT A CONFERENCE ON JANUARY 17, 2024

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RISK ALLOCATION

MODEL	FINANCING	OPERATION & MAINTENANCE	REVENUE/TOLL COLLECTION
EPC	Government	Government	Government
HAM	Government (40%)/ Private (60%)	Private	Government
BOT-Toll	Private	Private	Private
BOT-Annuity	Private	Private	Government